

The Trader's Pattern Playbook

The 6 chart patterns that appear most often in the market — with entry, stop, and target rules.

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Chart patterns are repeatable price formations that signal what a stock is likely to do next. They work because human psychology is consistent — fear, greed, indecision, and conviction play out in the same patterns repeatedly across different stocks, timeframes, and market conditions. These are the 6 patterns that appear most consistently and are worth knowing deeply.

PATTERN 1

Bull Flag

A sharp, strong upward move — called the flagpole — followed by a tight, orderly consolidation that drifts slightly downward or sideways on significantly lower volume. The consolidation is the flag. The flag represents a rest period where sellers take some profit but buyers hold their ground. When the consolidation ends and price breaks above the flag's high on expanding volume, the move typically continues the same distance as the original flagpole.

PATTERN 2

Bear Flag

The inverse of the bull flag. A sharp, strong downward move on high volume, followed by a weak, low-volume bounce or sideways consolidation. The bounce traps buyers who think the stock is recovering. When price breaks below the flag low on volume, the move typically continues downward the same distance as the initial decline. Most powerful when it forms after a gap down on a significant catalyst.

PATTERN 3

Ascending Triangle

A series of progressively higher lows pressing against a flat, horizontal resistance level. Each time the stock pulls back, buyers step in at a higher price than before — showing increasing urgency and conviction from the buy side. The flat resistance has been tested multiple times and held. When price finally breaks above this flat level on expanding volume, the breakout tends to be strong and sustained because all the trapped sellers above that level have already been absorbed.

PATTERN 4

Descending Triangle

The inverse of the ascending triangle. A series of progressively lower highs pressing against a flat, horizontal support level. Each rally attempt fails at a lower price — sellers are becoming increasingly aggressive. The flat support has been tested multiple times. A break below this level on volume signals that buyers have finally been exhausted and the selling pressure is ready to accelerate to the downside.

PATTERN 5

Head and Shoulders

A three-peak formation: a left shoulder peak, a higher head peak, and a right shoulder peak that is roughly equal in height to the left shoulder. A neckline is drawn connecting the lows between the three peaks. The pattern signals that buyers made three attempts to push the stock higher, with each attempt weaker than the last. A decisive break below the neckline on above-average volume is one of the most reliable major top reversal signals in technical analysis.

Double Top and Double Bottom

A double top forms when price tests the same resistance level twice and fails to break above it on the second test. The failure signals that sellers are firmly in control at that level. The bearish reversal is confirmed when price breaks below the low formed between the two peaks. A double bottom is the exact inverse — two tests of the same support level — and the bullish reversal confirms when price breaks above the high between the two troughs.

PATTERN ENTRY, STOP, AND TARGET — COMPLETE REFERENCE

PATTERN	ENTRY SIGNAL	STOP PLACEMENT	PRICE TARGET	VOLUME REQUIREMENT
Bull Flag	Break above flag high	Below flag low (tight)	Flagpole length added to breakout point	2x+ average on breakout candle
Bear Flag	Break below flag low	Above flag high (tight)	Flagpole length subtracted from breakdown	2x+ average on breakdown candle
Ascending Triangle	Break above flat resistance	Below most recent higher low in pattern	Triangle height added to breakout point	Significant expansion on breakout
Descending Triangle	Break below flat support	Above most recent lower high in pattern	Triangle height subtracted from breakdown	Significant expansion on breakdown
Head and Shoulders	Break below neckline	Above the right shoulder high	Head-to-neckline distance subtracted from neckline	High volume on neckline break
Double Top	Break below mid-pattern low	Above both peak highs	Pattern height subtracted from breakdown	Expansion on the breakdown candle
Double Bottom	Break above mid-pattern high	Below both trough lows	Pattern height added to breakout	Expansion on the breakout candle

PATTERN VALIDITY CHECKLIST — BEFORE EVERY PATTERN TRADE

- ☐ Volume contracted noticeably during the consolidation or pattern formation phase
- ☐ Volume expanded significantly on the breakout or breakdown candle
- ☐ The breakout candle closed clearly beyond the pattern level — not just a wick through and back
- ☐ The pattern is obvious and visible on the chart — if you have to look hard for it, it is probably not there
- ☐ The trade is in the direction of the primary trend on the higher timeframe
- ☐ There is no major resistance (for longs) or support (for shorts) immediately beyond the entry

TST CORE PRINCIPLE

The most common and most costly pattern trading mistake is entering before the breakout is confirmed. Anticipating a breakout is a guess. Trading a confirmed breakout with volume expansion is a strategy. The patience to wait for confirmation — even when the pattern looks perfect — is what separates disciplined traders from impulsive ones.

Full chart patterns curriculum with real trade examples in the TST Academy Beginner section at topstocktrading.com